

Calendar Lines 2-3

Case Name: *Credit Corp Solutions, Inc., v. Lorie Ann Guzman*

Case No.: 19CV361005

Plaintiff and Cross-Defendant Credit Corp Solutions, Inc. (“CCS”) brought this case to collect a debt allegedly owed by Defendant and Cross-Complainant Lorie Guzman. Ms. Guzman filed a cross-complaint against CCS, Credit Corp Group Limited, Patenaude & Felix, and Todd Christopherson (collectively, “Cross-Defendants”) alleging putative class claims under the California Fair Debt Collection Buying Practices Act, Civil Code section 1788.50-1788.64 (the “CFDBPA”); the federal Fair Debt Collection Practices Act, 15 U.S.C. sections 1692-1692p (the “FDCPA”); and the California Rosenthal Fair Debt Collection Practices Act, Civil Code sections 1788-1788.33 (the “RDCPA”)

Before the Court is the parties’ joint motion for final approval of Class settlement (the “Settlement”) and Class Counsel’s motion for attorneys’ fees, costs, and service award. As discussed below, the Court GRANTS the motions.

I. BACKGROUND

According to the allegations of the operative second amended complaint (“SAC”), CCS is a debt buyer and the assignee of LendingClub Corporation (“LendingClub”). (SAC, ¶ 5.) WebBank, serviced by LendingClub, extended a loan to Ms. Guzman pursuant to her submitted loan application, for personal, family, or household purposes. (SAC, ¶ 6.) Within five business days of origination, WebBank transferred or otherwise conveyed all of its rights, title, and interest in the account to LendingClub. (SAC, ¶ 7.) Ms. Guzman defaulted on the requirement payments and LendingClub assigned and transferred all right, title, and interest in the account to CCS. (SAC, ¶ 8.)

CCS is the sole owner of the account at issue, or has authority to assert the rights of all owners of the debt. (SAC, ¶ 9.) The balance at charge-off was \$2,093.96 and CCS is not seeking to recover any post charge-off fees or interest. (SAC, ¶ 10.) The date of last payment was on or about January 22, 2016 and the name of the charge-off creditor is LendingClub. (SAC, ¶¶ 11-12.) CCS has complied with Civil Code section 1788.52. (SAC, ¶ 15.)

Based on the foregoing, CCS initiated this action with the filing of the complaint on December 31, 2019 and on February 4, 2020, it filed its first amended complaint, which asserted a single cause of action for breach of contract. On January 4, 2021, it filed the operative SAC, which asserts a claim for breach of contract. On July 2, 2020, Ms. Guzman filed her Cross-Complaint and on January 4, 2021, she filed her operative first amended Cross-Complaint, which asserts causes of action under (1) the CFDBPA; (2) the FDCPA; and (3) the RDCPA. On August 29, 2025, the Court issued its order which granted the parties’ joint motion for preliminary approval of class action settlement.

The parties now seek final approval of Class Action.

II. MOTION FOR FINAL APPROVAL

A. Legal Standard

i. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement. (*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members’ claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of

the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public ...”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

C. Terms and Administration of Settlement

The Settlement provides for the establishment of a class fund of \$8,400 to be distributed on a pro rata basis to the “Class Members” who are defined as “any persons who are part of the Class and who do not fall within a relevant exception.” The Class is defined as “all persons with addresses in California against whom Cross-Defendants filed and served a collection Complaint in the form of Exhibits “1” or “2” to the First Amended Class Action Cross-Complaint for Declaratory Relief and Damages herein, in an attempt to collect a charged-off consumer debt originally owed to WebBank, which is sold or resold to Credit Corp Solutions, Inc., on or after January 1, 2014, during the period December 31, 2018, through the date of class certification.”¹ The parties agree there are approximately 42 Class Members and the Settlement provides that each Class Member will receive no less than \$200. Cross-Defendants will also pay Ms. Guzman \$1,000 in statutory damages and bear the costs of administering notice to the Class. Class counsel will seek an award of attorneys’ fees and costs not to exceed \$170,000.00 and Cross-Defendants will not oppose the request. Ms. Guzman seeks a service award of \$2,000. Funds associated with checks uncashed after 90 days will be transmitted to Alexander Community Law Center

The Settlement contains the following attorney fees and costs provision:

Cross-Defendants will pay Class Counsel reasonable attorneys’ fees and costs, pursuant to California Civil Code §§ 1788.17, 1788.30(c), 1788.62(c), and 15 U.S.C. § 1692k(a)(3), as approved by the Court. Class Counsel will seek an award of attorney fees and costs in an amount not to exceed \$170,000, and Cross-Defendants will not oppose such request. Any application for approval of such attorneys’ fees and costs will be made separately, upon noticed motion, and determined at the Final Fairness Hearing, or at the Court’s discretion.

In exchange for the settlement, Class Members will release:

¹ The Class certified by the Court is the same Class subject to the Settlement, thus, the Court does not need to conditionally certify the Class nor do the parties request conditional Class certification.

Any and all claims alleging violation of the California Fair Debt Buying Practices Act, California Civil Code §§ 1788.50-1788.64, the California Rosenthal Fair Debt Collection Practices Act, California Civil Code §§ 1788-1788.33, and the federal Fair Debt Collection Practices Act, 15 U.S.C. §§ 1692-1692-, or similar or related claims or causes of action under state or federal law, arising from or relating to collection Complaints in the form of Exhibits “1” or “2” to the First Amended Class Action Cross-Complaint for Declaratory Relief and Damages herein, that Cross-Complaint or any of the Class Members does not know or even suspect to exist against any of the released parties, which, if known, might have affected his or her decision regarding the settlement of this matter.

The notice period has now been completed. While the motion refers to a declaration from the settlement administrator, it appears the declaration was rejected by the Court due to an error with the filing. As this was a clerical error, the Court will consider the declaration at this time contingent upon Class Counsel submitting a correct version before the final order can be issued.

In support of this motion, Christian Labow (“Labow”), a case manager with settlement administrator CPT, submitted a declaration. On September 5, 2025, CPT received the notice packet from Class Counsel and the Class Members’ data from Cross-Defendants. On September 22, 2025, CPT updated the mailing list and sent the notice packets to 42 Class Members. 5 notice packets were returned, and CPT was able to locate a better address for 4 of them. Thus, only 1 notice packet was deemed undeliverable.

The response deadline has passed and as of the date of Labow’s declaration, CPT received 0 objections. Consequently, there are 42 participating Class Members. Pursuant to the terms of the Settlement, each Class Member will receive an individual settlement payment of \$200 with the class fund totaling \$8,400.

Pursuant to the Settlement, Cross-Defendants are responsible for paying the costs to CPT.

At preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to the claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the settlement is fair and reasonable for the purposes of final approval.

Based on the foregoing, the parties’ joint motion for final approval of the settlement is GRANTED.

III. MOTION FOR ATTORNEYS’ FEES, LITIGATION COSTS, AND PLAINTIFFS’ SERVICE AWARD

The benefits achieved by the settlement justify an award of attorney fees to Class Counsel. Class Counsel seeks a fee and costs award of \$170,000, the negotiated maximum amount as set forth in the Settlement. The Court has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable.

(See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) The lodestar method is a recognized method for calculating attorney fees in civil class actions and is appropriately employed in this case. (See *Wershba, supra*, 91 Cal.App.4th at p. 254 [“Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.”]; *Consumer Privacy Cases* (2009) 175 Cal.App.4th 545, 556–557 [trial court properly awarded attorney fees in consumer class action based on lodestar method where there was no “common fund” justifying a percentage recovery].)

The lodestar (or touchstone) is produced by multiplying the number of hours reasonably expended by counsel by a reasonable hourly rate. Once the court has fixed the lodestar, it may increase or decrease that amount by applying a positive or negative ‘multiplier’ to take into account a variety of other factors, including the quality of the representation, the novelty and complexity of the issues, the results obtained, and the contingent risk presented.

(*Consumer Privacy Cases, supra*, 175 Cal.App.4th at p. 556, internal citation and quotations omitted.)

Class Counsel provides a lodestar figure of \$393,000.00 based on 568.4 hours of work at billing rates ranging from \$605 to \$825. (Declaration of Class Counsel Fred A. Schwinn (“Schwinn Decl.”), ¶¶ 14-15; Exh. A.) These hours are reasonable based on the summaries provided, and counsel’s hourly rates are also reasonable considering their experience and the market in which they practice. Counsel also incurred \$7,229.12 in costs. (Schwinn Decl., ¶¶ 17-18.) The combined fee and costs award of \$170,000 is below the combined total lodestar plus costs. The fee and cost award requested by Class Counsel is thus fair and reasonable, without the need to consider a multiplier, and it is approved by the Court.

Lastly, Cross-Defendants agreed to pay a service award to Ms. Guzman in the amount of \$2,000. Ms. Guzman submitted a declaration detailing her efforts in this action. The Court finds she is entitled to a service award and the amount requested is reasonable. Thus, the service award is approved.

IV. CONCLUSION

The motions for final approval, attorneys’ fees and costs, and Ms. Guzman’s service award is GRANTED provided that Class Counsel submits a corrected declaration from Labow.

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) The members of the Class will take only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **November 5, 2026 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court’s attention. Counsel

shall also submit an amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

The Court will prepare the order.

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Case Name: *Linkee Fair Lobyoc v. Headway Technologies, Inc. d/b/a TDK Headway Technologies, Inc.*

Case No.: 23CV421632

This is a putative class and representative action arising from alleged wage and hour violations. Plaintiff Linkee Fair Lobyoc (“Plaintiff”) alleges that Defendant Headway Technologies, Inc. d/b/a TDK Headway Technologies, Inc. (“Defendant”) committed various wage and hour violations.

I. BACKGROUND

According to the allegations of the operative First Amended Complaint (“FAC”), Defendant employed Plaintiff as a non-exempt, hourly-paid employee. (FAC, ¶¶ 18-19.) Plaintiff alleges that Defendant failed to: pay all wages owed (including minimum, rest period, meal period, overtime, and final wages); reimburse employees for necessary business expenses; and provide complete and accurate wage statements.

Plaintiff began this action on August 22, 2023 by filing a class action complaint against Defendant. On February 6, 2025, Plaintiff filed the operative first amended complaint, asserting the following causes of action: (1) unpaid overtime; (2) unpaid meal period premiums; (3) unpaid rest period premiums; (4) unpaid minimum wages; (5) final wages not timely paid; (6) non-compliant wage statements; (7) unreimbursed business expenses; (8) violation of California’s Private Attorneys General Act (“PAGA”); and (9) violation of Business & Professions Code section 17200, *et seq.*

The parties have reached a settlement (the “Settlement Agreement”). On September 8, 2025, the Court issued an order granting Plaintiff’s motion for preliminary approval of the Settlement Agreement (the “Prior Order”). Now before the Court is Plaintiff’s unopposed motion for final approval of the Settlement Agreement.

II. Legal Standard for Settlement Agreements

a. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings,